

23STCV14072 23STCV14072

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Case Number: 23STCV14072 Hearing Date: September 24, 2026 Dept: 413

TENTATIVE

RULING

HEARING DATE: September

24, 2026

CASE NUMBER: 23STCV14072

CASE NAME: Herbl, Inc. v. Urban Buds, LLC

MOVING PARTY: Defendant Urban Buds, LLC

OPPOSING PARTY: None

PROCEEDING: MOTION FOR SANCTIONS

RULING SUMMARY: Defendant's Motion for Issue, Evidence, and Terminating

Sanctions is denied. The Court reserves the right to hear further from

Defendant and counsel regarding the issue of monetary sanctions and the

reasonableness of the requested amount. Defendant's request for an order

requiring Plaintiff to pay the prior \$1,560.00 sanctions awarded on November

26, 2025, is granted. Plaintiff is ordered to pay \$1,560.00 in sanctions within

15 days of this Ruling.

Background

On June 20, 2023, Herbl, Inc. filed a

Complaint against Urban Buds LLC, aka Urban Buds LLC Distro dba Hey High, Honor

Roll dba Urban Buds Honor Roll aka Indo Cali Operations aka Canex ("Defendant")

and Does 1 to 50.

On March 14, 2024, Plaintiff Global Assets, Liens &

Foreclosures, LLC[1]

("Plaintiff") filed a First Amended Complaint ("FAC") alleging causes of action

for (1) Goods and Services Sold and Delivered; (2) Account Stated; (3) Open

Book Account; and (4) Breach of Contract.

On November 26, 2025, the Court denied as

moot Defendant's Motion to Deem RFAs admitted but awarded sanctions against

Plaintiff in the amount of \$1,560.00 to be paid within 30 days.

On February 5, 2026, the Court ordered:

1.

"As

to Requests for Production (Set 2) propounded by Defendant to Plaintiff,

Plaintiff will serve verified responses without objections, and produce all

responsive documents within Plaintiff's possession, custody or control. The verified responses will contain the mandatory language as stated in Code of Civil Procedure sections 2031.220 and 2031.230. Plaintiff will provide a privilege log identifying any responsive documents withheld on the grounds of privilege. The verified responses and documents and privilege log will be provided within 30 days of the date of this order. If and to the extent (contrary to Defendant's contention Plaintiff has not served Code-compliant Responses to RFP (Set 2)) that Plaintiff has previously provided Code-compliant responses to RFP (Set 2), Plaintiff will so confirm to Defendant and re-serve a copy of such responses within two weeks from the date of this order. Provided that Plaintiff has given the confirmation and re-served previously served Code-compliant responses to any of the categories in RFP (Set 2), Plaintiff will not be required to serve additional verified Code-compliant responses as to such categories in the RFPs (set 2) for which Plaintiff has previously served Code compliant verified responses.

2.

With

regard to RFAs (Set 1) and RFAs (Set 2) propounded by Defendant to Plaintiff, Plaintiff will serve verified responses to Form Interrogatory no. 17.1, which respond, for any RFA response that is not an unqualified admission, to all four subparts

of Form Interrogatory no. 17.1. Those Code-compliant responses shall be served by Plaintiff on Defendant within 30 days of the date of this order. If and to the extent that Plaintiff has provided Code-compliant responses to Form Interrogatory no. 17.1 as to RFAs (Set 1) and/or RFAs (Set 2), Plaintiff will so confirm to Defendant and re-serve a copy of such responses within two weeks from the date of this order. Provided that Plaintiff has given the confirmation and re-served previously served Code-compliant responses to Form Interrogatory no. 17.1 as to any of the RFAs in RFA (Set 1) or RFA (Set 2), Plaintiff will not be required to serve additional verified Code-compliant responses to Form Interrogatory no. 17.1 as to such RFAs for which Plaintiff has previously served Code compliant verified responses.

3.

If

Plaintiff serves responses in accordance with this order or confirms to Defendant in accordance with this Order that it has already served Code-compliant responses to any of the discovery requests noted above and serves another copy of such responses, and Defendant determines that any such responses are not Code-compliant, then Defendant may seek sanctions for non-compliance with this order compelling discovery responses.”

Defendant moves for an order: (1) finding

that Plaintiff has misused the discovery process by failing to respond to authorized discovery and disobeying the Court's February 5 Order; (2) imposing issue sanctions pursuant to Code of Civil Procedure section 2023.030, subdivision (b); (3) imposing evidence sanctions pursuant to Code of Civil Procedure section 2023.030, subdivision (c); (4) imposing monetary sanctions pursuant to Code of Civil Procedure sections 2023.010, 2023.030, subdivision (a), 2031.300, subdivision (c), 2030.290, subdivision (c), and/or 2030.300, subdivision (e) in the amount of \$18,920.00 plus costs; (5) requiring Plaintiff to satisfy by a date certain the Court's prior sanctions award entered on November 26, 2025; and (6) in the alternative, imposing terminating sanctions pursuant to Code of Civil Procedure section 2023.030, subdivision (d), 2031.300, subdivision (c), 2030.290, subdivision (c), and/or 2030.300, subdivision (e).

Plaintiff has not filed an opposition to the motion.

LEGAL STANDARDS

A.

Issue

Sanctions

Code of Civil

Procedure section 2023.030, subd. (b), provides:

To the extent authorized by the

chapter governing any particular discovery method or any other provision of

this title, the court, after notice to any affected party, person, or attorney,

and after opportunity for hearing, may impose the following sanctions against

anyone engaging in conduct that is a misuse of the discovery process:

(b) The court

may impose an issue sanction ordering that designated facts shall be taken as

established in the action in accordance with the claim of the party adversely

affected by the misuse of the discovery process. The court may also impose an issue

sanction by an order prohibiting any party engaging in the misuse of the

discovery process from supporting or opposing designated claims or defenses.

B.

Evidence

Sanctions

Under Code of

Civil Procedure section 2023.030, subd. (c), "The court may impose an evidence

sanction by an order prohibiting any party engaging in the misuse of the

discovery process from introducing designated matters in evidence."

C.

Monetary Sanctions

i.

Section 2023.010

Section 2023.010 of the Code of Civil Procedure defines

“misuse of the discovery process” as follows:

Misuses of the discovery process include, but are not

limited to, the following: (a) Persisting, over objection and without

substantial justification, in an attempt to obtain information or materials

that are outside the scope of permissible discovery. (b) Using a discovery

method in a manner that does not comply with its specified procedures. (c) Employing

a discovery method in a manner or to an extent that causes unwarranted

annoyance, embarrassment, or oppression, or undue burden and expense. (d) Failing

to respond or to submit to an authorized method of discovery. (e) Making,

without substantial justification, an unmeritorious objection to discovery. (f) Making

an evasive response to discovery. (g) Disobeying a court order to provide

discovery. (h) Making or opposing, unsuccessfully and without substantial

justification, a motion to compel or to limit discovery. (i) Failing to

confer or to attempt to confer, in person, by telephone, or by videoconference

with an opposing party or attorney in a reasonable and good faith attempt to

resolve informally any dispute concerning discovery, if the section governing a

particular discovery motion requires the filing of a declaration stating facts

showing that an attempt at informal resolution has been made.

ii.

Section 2023.030

Monetary sanctions are governed generally by section

2023.030 of the Code of Civil Procedure, as follow:

The court may impose a monetary

sanction ordering that one engaging in the misuse of the discovery process, or

any attorney advising that conduct, or both pay the reasonable expenses,

including attorney's fees, incurred by anyone as a result of that conduct. The

court may also impose this sanction on one unsuccessfully asserting that

another has engaged in the misuse of the discovery process, or on any attorney

who advised that assertion, or on both. If a monetary sanction is authorized by

any provision of this title, the court shall impose that sanction unless it

finds that the one subject to the sanction acted with substantial justification

or that other circumstances make the imposition of the sanction unjust.

iii.

Section 2030.290

Monetary sanctions with regard to interrogatories in

particular are authorized by section 2030.290 of the Code of Civil Procedure,

as follows:

The court shall impose a monetary

sanction under Chapter 7 (commencing with Section 2023.010) against any party,

person, or attorney who unsuccessfully makes or opposes a motion to compel a

response to interrogatories, unless it finds that the one subject to the

sanction acted with substantial justification or that other circumstances make

the imposition of the sanction unjust. If a party then fails to obey an order

compelling answers, the court may make those orders that are just, including

the imposition of an issue sanction, an evidence sanction, or a terminating

sanction under Chapter 7 (commencing with Section 2023.010). In lieu of or in

addition to that sanction, the court may impose a monetary sanction under

Chapter 7 (commencing with Section 2023.010).

iv.

Section 2030.300

Code of Civil

Procedure section 2030.300, subd. (e) provides for sanctions for violating an

order compelling responses to interrogatories, as follows:

If a party then fails to obey an

order compelling further response to interrogatories, the court may make those

orders that are just, including the imposition of an issue sanction, an

evidence sanction, or a terminating sanction under Chapter 7 (commencing with Section 2023.010). In lieu of, or in addition to, that sanction, the court may impose a monetary sanction under Chapter 7 (commencing with Section 2023.010).

v.

Section 2031.300

Sanctions with

regard to orders related to Demands for Production are governed by section

2031, subdivision (c) of the Code of Civil Procedure, as follows:

Except as provided in subdivision

(d), the court shall impose a monetary sanction under Chapter 7 (commencing

with Section 2023.010) against any party, person, or attorney who

unsuccessfully makes or opposes a motion to compel a response to a demand for inspection,

copying, testing, or sampling, unless it finds that the one subject to the

sanction acted with substantial justification or that other circumstances make

the imposition of the sanction unjust. If a party then fails to obey the order

compelling a response, the court may make those orders that are just, including

the imposition of an issue sanction, an evidence sanction, or a terminating

sanction under Chapter 7 (commencing with Section 2023.010). In lieu of or in

addition to this sanction, the court may impose a monetary sanction under

Chapter 7 (commencing with Section 2023.010).

D. Terminating

Sanctions

Finally, Code of Civil Procedure section 2023.030, subd.

(d), provides for terminating sanctions:

The court may impose a terminating sanction by one of

the following orders: (1) An order striking out the pleadings or parts of

the pleadings of any party engaging in the misuse of the discovery process. (2) An

order staying further proceedings by that party until an order for discovery is

obeyed. (3) An order dismissing the action, or any part of the action, of

that party. (4) An order rendering a judgment by default against that

party.

I. Discussion

A. Issue Sanctions

Defendant requests that the Court impose the

following issue sanctions:

1. Plaintiff is precluded from asserting, supporting, or offering

evidence that it owns, was assigned, or is otherwise entitled to enforce any

account receivable allegedly owed by Defendant Urban Buds, LLC, except to the

extent such matter was established through discovery served in compliance with

the Court's February 5, 2026 order.

2. Plaintiff is precluded from asserting, supporting, or offering

evidence as to any amount allegedly due from Defendant Urban Buds, LLC unless

such amount was established through discovery served in compliance with the

Court's February 5, 2026 order.\

3. Plaintiff is precluded from asserting that any agreement,

schedule, exhibit, ledger, statement, or assignment document specifically

identified Defendant Urban Buds, LLC or any Urban Buds receivable as among the

assets allegedly transferred to Plaintiff, except to the extent such matter was

established through discovery served in compliance with the Court's February 5,

2026 order.

4. Plaintiff is precluded from asserting any facts, witnesses,

documents including those required by Form Interrogatory No. 17.1, or any

damages or balance-due calculations, except to the extent such matters were

established through discovery served in compliance with the Court's February 5,

2026 order.

On February 5, 2026, the Court ordered Plaintiff

to serve verified responses to RFPs (Set Two), RFAs (Sets One and Two), and

FROG No. 17.1 within 30 days of the

date of the Order. The Order also provided

that, to the extent Plaintiff contended it had already served Code-compliant

responses to the RFPs and FROG, Plaintiff was required to confirm that fact and re-serve copies of those responses within two weeks of the date of the Order.

Defendant's counsel asserts that, as of the

filing of this motion, Plaintiff has failed to serve verified responses, a

privilege log, or confirmation. (Molarabi Decl., ¶¶ 11-17.)

While counsel states that the RFAs (Sets One and

Two) are attached as Exhibit B to his declaration, they are not attached.

(Molarabi Decl., Ex. B.) In addition, the discovery requests that were attached

do not clearly relate to ownership/amount-due facts that are targeted by the

issue sanctions. (Id.) The RFPs are grouped as follows: (1)

Communications with the DCC and Other Regulatory Entities; (2) Basis for Claims

Regarding Defendant's Good Standing (with the DCC or any Regulatory Entity);

(3) The 8/22 Call and Related Activities; (4) Dissemination and Publication of

Statements Regarding Good Standing; (5) Involvement of Intermediaries,

Consultants, and Third Parties; (6) Documents Related to Inspections,

Embargoes, and Compliance, (7) Preservation, Collection, and Discovery about

Discovery; (8) Privilege-Related Materials and Withholdings; and (8) Additional

Efficiency-Targeted Requests. (Id.) "Account," "Receivable," "Owed,"

and/or "Amount" are not found in a single RPD.

Based on the foregoing, the Court denies Defendant's

request for issue sanctions against Plaintiff.

B. Evidence Sanctions

Defendant requests the following evidentiary

sanctions:

Plaintiff is precluded from introducing at any hearing,

dispositive motion, trial, or other proceeding any document, testimony,

declaration, summary, or secondary evidence concerning: 1. any alleged

assignment to Plaintiff of the receivable at issue; 2. any schedule, exhibit,

ledger, statement, or account record identifying Defendant Urban Buds, LLC as

an obligor; 3. any agreement, exhibit, or transfer document purportedly

establishing that Urban Buds or any Urban Buds receivable was specifically

included among transferred assets; 4. any calculation of damages, balance due,

credits, offsets, account history, or receivable history relating to the

receivable at issue; 5. any document responsive to Requests for Production, Set

Two, that was not produced in compliance with the Court's February 5, 2026

order; and 6. any facts, witnesses, or documents that should have been

disclosed in Plaintiff's court-ordered Form Interrogatory No. 17.1 responses

but were not.

(Mot., at pp. 10-11.)

As noted in Section B (Issue Sanctions), the

RFAs (Sets One and Two) are not attached as Exhibits with the moving papers.

(Molarabi Decl., Ex. B.) And the attached discovery requests do not clearly relate

to the evidentiary issues that are the subject of the requested sanctions. (Id.)

Accordingly, the Court denies Defendant's

request for evidence sanctions against Plaintiff.

C. Monetary Sanctions

Defendant seeks sanctions in the amount of

\$18,920.00, plus costs, for attorney work "in connection with this motion,

including reviewing the discovery history and Court orders, preparing the

motion, organizing the supporting exhibits, preparing this declaration and the

proposed order, coordinating filing and service, reviewing any opposition,

preparing any reply, and appearing at the hearing." (Molarabi Decl., ¶ 25.)

The Court finds that Plaintiff misused the

discovery process and failed to comply with the Court's February 5 Order. (See

Molarabi Decl., ¶¶ 11-17.)

Defendant, however, has failed to provide a

justification for the amount: Defendant has not stated counsel's hourly rate,

how many hours were spent on each task, and/or the amount of costs. It is

uncertain how the amount was calculated.

Accordingly, the Court reserves the right to

hear further from Defendant and counsel as to the issue of monetary sanctions

and the reasonableness of the requested amount.

Defendant also moves for an order compelling

Plaintiff to pay the prior \$1,560.00 sanctions awarded in the Court's November

26, 2025 Order within seven days. Because the sanctions were awarded nearly a

year ago and Plaintiff has failed to comply, the Court grants Defendant's

request. Plaintiff is ordered to pay the prior \$1,560.00 sanctions within seven

days of this Ruling.

D. Terminating Sanctions

Defendant requests terminating sanction in the

alternative "[i]f the Court concludes that lesser sanctions will not secure

compliance." (Mot., at p. 11.)

Terminating sanctions are premature.

"[S]anctions are generally imposed in an incremental approach[.]" (Department

of Forestry & Fire Protection v. Howell (2017) 18 Cal.App.5th 154,

191-192, disapproved of on other grounds in Presbyterian Camp &

Conference Centers, Inc v. Superior Court (2021) 12 Cal.5th 493, 516, fn.

17.) Courts apply discovery sanctions to correct prejudice, not to punish

misbehavior. (See McGinty v. Superior Court (1994) 26 Cal.App.4th 204,

210.) "Discovery sanctions serve to remedy the harm caused to the party

suffering the discovery misconduct. [Citation.] Because discovery sanctions are not designed to punish, “sanctions should be tailored to serve that remedial purpose, should not put the moving party in a better position than he would otherwise have been had he obtained the requested discovery, and should be proportionate to the offending party's misconduct.” [Citation.]” (Kwan

Software Engineering, Inc. v. Hennings (2020) 58 Cal.App.5th 57, 74.)

Based on the foregoing, the Court denies

Defendant's request for terminating sanctions.

Conclusion

Defendant's Motion for Issue,

Evidence, and Terminating Sanctions is denied. The Court reserves the right to

hear further from Defendant and counsel regarding the issue of monetary

sanctions and the reasonableness of the requested amount. Defendant's request

for an order requiring Plaintiff to pay the prior

\$1,560.00 sanctions awarded on November 26, 2025, is granted. Plaintiff is ordered to pay \$1,560.00 in

sanctions within 15 days of this Ruling.

Date: September 24, 2026 _____

William

E. Weinberger

Judge,

Los Angeles Superior Court

[1] Plaintiff alleges in the FAC that after the initiation of

this lawsuit, but before the filing of the FAC, Herbl, Inc. assigned its

interest in the claim to Distro Accounts Receivable LLC, who then assigned its

interest to Plaintiff. (FAC ¶ 1(B).)